I want to be honest with you that the latest GDP numbers... I just simply cannot understand them. They're absolutely mystifying, they don't add up

1. ARVIND SUBRAMANIAN

Senior Fellow, Peterson Institute for International Economics; former Chief Economic Advisor, Government of India

Since 2012, you have had such tremendous shocks in the form of retrospective tax, institutions annulling allocations... you are beginning to see a growth in the last few quarters in private investment

2. SHAMIKA RAVI

Member, Economic Advisory Council to the Prime Minister; Secretary to Government of India



ARUN KUMAR

TACKLING GLOBAL HEADWINDS

Economists Arvind Subramanian and Shamika Ravi discussed at length the areas where India has made real progress as well as the areas of concern, and how much of the narrative on the country's growth was for real. Pointing out that India's share in global manufacturing exports was 2.7 per cent and China's 40 per cent, Subramanian said it was an endemic problem that needed to be addressed. Also, it would be a "fatal error of judgement" if India thinks it can grow based on the domestic market. No successful country in the post-war period—China, Vietnam, Bangladesh or Indonesia—achieved 7-8 per cent growth without a 15 per cent growth in manufacturing exports, he said. Ravi countered this, saying data derived from satellite images showed a significant rise in construction activity, which aids economic growth. Moreover, the foundation for long-term sustainable growth was tied to improving basic amenities, be it electricity, drinking water or toilets. That has been the Modi government's focus, she said. ■

KEY TAKEAWAYS

- The services boom today cannot produce inclusive growth as global capability centres and services provide good employment for 1-3% of the workforce
- The seeds of the JAM (Jan Dhan, Aadhaar and Mobile) trinity for which this government deserves a lot of credit were sown by the previous government

1. ARVIND SUBRAMANIAN

- It's important to note what the government has accomplished in the past 10 years in terms of targeting the bottom two quintiles
- Considering the data of the past 50 years, in India, higher capital expenditure by the government always crowds in private investment

2. SHAMIKA RAVI